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EQUITY RESEARCH NOTE

VNIE

March 3, 2026

Executive Summary

VISA INC. reported revenue of $40.0 billion for the most recent period, representing an 11.3% year-over-year increase. Net income for the period was $20.1 billion, reflecting a 1.6% year-over-year growth. The company demonstrates strong profitability with an operating margin of 60.0% and a net margin of 50.1%. Return on Equity stands at 75.9%, indicating efficient utilization of shareholder capital, though the debt-to-equity ratio of 2.33x suggests a leveraged capital structure.

Key Metrics Dashboard

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Revenue	$40.0B	$35.9B	11.3%
Net Income	$20.1B	$19.8B	1.6%
Operating Income	$24.0B	$23.6B	1.7%
Total Assets	$99.6B	$94.5B	5.4%
Total Liabilities	$61.7B	$55.3B	11.5%
Stockholders' Equity	$26.4B	$25.0B	5.7%
Operating Cash Flow	$23.1B	$20.0B	15.6%
Capital Expenditures	$1.5B	$1.3B	17.9%
Free Cash Flow	$21.6B	$18.7B	15.3%
Debt-to-Equity	2.33x	N/A	N/A
Return on Equity	75.9%	N/A	N/A
Return on Assets	20.1%	N/A	N/A

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Current Ratio	1.08x	N/A	N/A
Operating Margin	60.0%	N/A	N/A
Net Margin	50.1%	N/A	N/A

Note: Prior Period and Change (%) for ratios are not available in the provided data.

Trend Analysis

Revenue Growth: VISA INC. has demonstrated consistent revenue expansion, with a Compound Annual Growth Rate (CAGR) of 9.7% from 2021 to 2025. Revenue increased from $24.1 billion in 2021 to $40.0 billion in 2025. The most recent year-over-year growth was 11.3%, from $35.9 billion in 2024 to $40.0 billion in 2025, indicating continued top-line expansion.

Profitability Trends: Net income has grown at a CAGR of 14.4% from $12.3 billion in 2021 to $20.1 billion in 2025. Operating income also increased at a CAGR of 13.2% over the same period, from $15.8 billion to $24.0 billion. Despite strong historical growth, the most recent year-over-year net income growth was 1.6%, from $19.7 billion in 2024 to $20.1 billion in 2025, which is notably lower than the CAGR.

Operating Cash Flow and Capital Expenditures: Operating cash flow has shown robust growth with a CAGR of 17.1% from $15.2 billion in 2021 to $23.1 billion in 2025. Capital expenditures have also increased, with a CAGR of 12.3% over the same period, from $705.0 million to $1.5 billion. The growth in operating cash flow outpaced capital expenditures, resulting in a free cash flow of $21.6 billion for the most recent period.

Risk Factors

High Leverage: The company's debt-to-equity ratio of 2.33x indicates a high level of financial leverage. This structure may expose the company to increased interest rate risk or challenges in refinancing debt under adverse market conditions.

Anomaly in Net Income: A significant spike in net income, with a 53.8% year-over-year change (2.4 standard deviations from the mean), was identified in the period ending 2018-09-30. Such an anomaly could indicate a one-time event or a change in accounting practices that may not be sustainable.

Anomaly in Operating Income: An anomaly in operating income, characterized by a 54.1% year-over-year change (2.5 standard deviations from the mean), occurred in the period ending 2017-09-30. This could suggest a

non-recurring operational event that inflated profitability during that specific period.

Anomaly in Total Assets: Total assets experienced a significant spike of 11.5% year-over-year (2.4 standard deviations from the mean) in the period ending 2020-09-30. This unusual increase could be due to a large acquisition or a revaluation of assets, warranting further investigation into its

Data Sources

- VNIE 8-K (2026-02-27)
- VNIE 8-K (2026-02-13)
- VNIE 8-K (2026-02-12)

All data sourced from SEC EDGAR. This analysis is generated from public SEC filings and is not financial advice.

Financial Statements

Financial Statements Overview for VNIE

Income Statement Highlights:

- **Revenue:** VNIE reported total revenue of $40,000,000,000 USD.
- **Operating Income:** Operating income stood at $23,994,000,000 USD.
- **Net Income:** Net income was $20,058,000,000 USD.
- **Operating Margin:** The operating margin was 0.5999%.
- **Net Margin:** The net margin was 0.5014%.

Balance Sheet Highlights:

- **Total Assets:** Total assets amounted to $99,627,000,000 USD.
- **Total Liabilities:** Total liabilities were $61,718,000,000 USD.
- **Stockholders' Equity:** Stockholders' equity was $26,437,000,000 USD.
- **Current Ratio:** The current ratio was 1.0776x.
- **Debt-to-Equity:** The debt-to-equity ratio was 2.3345x.

Cash Flow Highlights:

- **Operating Cash Flow:** Operating cash flow generated was $23,059,000,000 USD.

- **Capital Expenditures:** Capital expenditures totaled $1,482,000,000 USD.
- **Free Cash Flow:** Free cash flow was $21,577,000,000 USD.

Profitability Ratios:

- **Return on Equity (ROE):** ROE was 0.7587%.
- **Return on Assets (ROA):** ROA was 0.2013%.

Analyst Notes

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VNIE demonstrates strong operational profitability and cash generation, though its capital structure shows significant leverage. The company achieved an impressive Net Margin of 50.14% and an Operating Margin of 59.99% on Revenue of $40,000,000,000, resulting in Net Income of $20,058,000,000 and Operating Income of $23,994,000,000. This strong performance is further highlighted by a Return on Equity (ROE) of 75.87% and a Return on Assets (ROA) of 20.13%.

In terms of liquidity, the Current Ratio stands at 1.0776x, indicating adequate short-term solvency, though not exceptionally robust. A key area for consideration is the company's leverage, with a Debt-to-Equity ratio of 2.3345x. This is reflected in Total Liabilities of $61,718,000,000 compared to Stockholders' Equity of $26,437,000,000.

Despite the high leverage, VNIE exhibits strong cash flow generation. The company reported Free Cash Flow of $21,577,000,000, derived from Operating Cash Flow of $23,059,000,000 after accounting for Capital Expenditures of $1,482,000,000. This robust cash flow provides some capacity to manage its debt obligations.

Data sourced exclusively from SEC EDGAR public filings.
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